

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORTING

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L40101DL1969GOI005095
2.	Name of the Listed Entity	REC Limited
3.	Year of incorporation	1969
4.	Registered office address	Core 4, SCOPE Complex, 7, Lodhi Road, New Delhi-110003
5.	Corporate address	REC World Headquarters, Plot no. I-4, Sector 29, Gurugram-122001
6.	E-mail	complianceofficer@recindia.com
7.	Telephone	+91-124-444 1300
8.	Website	https://recindia.nic.in/
9.	Financial year for which reporting is being done	April 1, 2023 to March 31, 2024
10.	Name of the Stock Exchange(s) where shares are listed	National Stock Exchange of India Limited (NSE) BSE Limited (BSE)
11.	Paid-up Capital	₹2,633.22 crore
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Shri Vijay Kumar Singh Director (Projects) (DIN: 02772733) +91-124-271 5517 directorprojects@recindia.com
13.	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	The disclosures are made in this report on a consolidated basis
14.	Name of assurance provider	M/s Corporate Professionals
15.	Type of assurance obtained	Reasonable Assurance

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

Sl. No.	Description of the main activity	Description of business activity	% of the turnover of the entity
1	Financial and Insurance Service	Financial and Credit leasing activities	99.86%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

Sl. No.	Product/Service	NIC Code	% of Total Turnover contributed
1	Other Financial Services and Activities - Other Credit Granting	64920	99.61%

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	0	35*	35
International	0	0	0

* This includes REC Corporate office including our subsidiary and REC regional offices in 23 Locations in different parts of the country which is listed separately in the Annual report and also our subsidiary 'RECPDCL' office 12 locations across India.

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	28
International (No. of Countries)	0

b. What is the contribution of exports as a percentage of the total turnover of the entity?

The Company is a Non-Banking Financial Company (NBFC) categorized as Infrastructure Finance Company (IFC) by the Reserve Bank of India. The contribution of exports to the turnover of the Company was Nil for the financial year 2023-24.

c. A brief on types of customers

REC's principal products are interest-bearing loans to state utilities, private sector borrowers etc. The Company's business activities involve financing projects in the entire power sector value chain, be it power generation (both conventional and renewable energy), transmission, distribution, rural electrification, e-mobility, financing equipment manufacturing for power sector and activities having forward / backward linkage with power projects. Furthermore, the Ministry of Power has permitted REC to lend to Infrastructure and Logistics sector as well. As a result, REC has actively started financing/exploring subsectors

like Airports, Metro Rail, Roads and Highways, Green Hydrogen/Green Ammonia, Irrigation/Water resources, Multi-Modal Logistics Parks, Cold Chains, Railway Stations Redevelopment, Ports, Healthcare Infrastructure etc. During current financial year REC has sanctioned ₹3,745 crore debt funding and released ₹7,676 crore towards infrastructure and logistics space. The key products of the Company include long-term loans, medium-term loans, short-term loans, debt refinancing, revolving bill payments etc. for the entire power and infrastructure & logistics sector value chain. Customers of the Company include State Governments, Central/ State utilities, independent power producers, rural electric cooperatives, joint ventures, private sector borrowers and developers etc.

IV. Employees

20. Details as at the end of the financial year:

a. Employees and workers (including differently abled):

Sl. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	512*	434	85	78	15
2.	Other than Permanent (E)	468	399	85	69	15
3.	Total employees (D + E)	980	833	85	147	15
WORKERS						
4.	Permanent (F)	Not Applicable				
5.	Other than Permanent (G)					
6.	Total workers (F + G)					

*one employee who is on deputation is included in the category of other than permanent employees.

b. Differently abled Employees and workers:

Sl. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
Differently abled Employees						
1.	Permanent (D)	14	13	93	1	7
2.	Other than Permanent (E)	0	0	0	0	0
3.	Total differently abled employees (D + E)	14	13	93	1	7
Differently abled Workers						
4.	Permanent (F)	Not Applicable				
5.	Other than Permanent (G)					
6.	Total differently abled workers (F + G)					

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	8	1	12.5
Key Management Personnel	3	0	0

22. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

	FY 2023-24			FY 2022-23*			FY 2021-22*		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	6.35%	4.23%	6.03%	10.57%	10.37%	10.54%	7.51%	7.09%	7.44%
Permanent Workers	Not Applicable								

* Record keeping and data collation/verification methodology was reviewed and accordingly, information has been updated ensuring utmost accuracy and reliability wherever required.

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding / subsidiary / associate companies / joint ventures

Sl. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated in column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1.	Power Finance Corporation Limited	Holding	52.63	Yes
2.	REC Power Development and Consultancy Limited (RECPDCL)	Subsidiary	100	Yes
	RECPDCL Subsidiaries			
3.	Shongtong Power Transmission Limited	Subsidiary	100	No
4.	Kallam Transco Limited	Subsidiary	100	No
5.	Khavda IV C Power Transmission Limited	Subsidiary	100	No
6.	Khavda IVA Power Transmission Limited	Subsidiary	100	No
7.	Khavda IV-E2 Power Transmission Limited	Subsidiary	100	No
8.	Khavda V-A Power Transmission Limited	Subsidiary	100	No
9.	Rajasthan IV A Power Transmission Limited	Subsidiary	100	No
10.	Rajasthan IV C Power Transmission Limited	Subsidiary	100	No
11.	Rajasthan IV E Power Transmission Limited	Subsidiary	100	No
12.	Rajasthan IV H1 Power Transmission Limited	Subsidiary	100	No
13.	Khavda II-D Transmission Limited	Subsidiary	100	No
14.	Chandil Transmission Limited	Subsidiary	100	No
15.	Dumka Transmission Limited	Subsidiary	100	No
16.	Koderma Transmission Limited	Subsidiary	100	No
17.	Mandar Transmission Limited	Subsidiary	100	No
18.	Luhri Power Transmission Limited	Subsidiary	100	No
19.	NERES XVI Power Transmission Limited	Subsidiary	100	No
20.	Jalpura Khurja Power Transmission limited	Subsidiary	100	No
21.	Rajasthan Part I Power Transmission Limited	Subsidiary	100	No
22.	Tumkur-II REZ Power Transmission Limited	Subsidiary	100	No
23.	NERGS-I Power Transmission Limited	Subsidiary	100	No
24.	Kankani Power Transmission Limited	Subsidiary	100	No
25.	Meerut Shamli Power Transmission Limited	Subsidiary	100	No
26.	ERES-XXXIX Power Transmission Limited	Subsidiary	100	No

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No): Yes

(ii) Turnover (in ₹):

₹47,504.75 crore*

(iii) Net worth (in ₹):

₹69,350.25 crore*

*Figures are on consolidated basis

VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place. Yes/No (If yes, then provide web link for grievance redress policy)	FY 2023-24			FY 2022-23		
		Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks
Communities	Yes https://recindia.nic.in/grievances	88	12	Out of the 12 complaints pending at end of year 2023-24, only 2 nos. of complaints are pending as on May 8, 2024 while the remaining have been subsequently closed.	59	1	1 complaint pending at end of year 2022-23 have also been subsequently closed.
Investors (other than shareholders)	Yes https://recindia.nic.in/grievances	494	0	-	1,217	0	-
Shareholders	Yes https://recindia.nic.in/investors-contact	30	0	A part from these complaints, the Company has received 363 request/clarifications/queries from equity shareholders which were resolved/responded during the financial year 2023-24 except seven request/clarifications/queries which were resolved post March 31, 2024.	2,464	6	The pending cases have since been resolved
Employees and workers	Yes, available on intranet	1	0	-	0	0	-
Customers	Yes https://recindia.nic.in/policies	0	0	-	0	0	-
Value Chain Partners	Yes https://recindia.nic.in/independentexternal-monitor-iem-for-ruralelectrification-corporation-ltd	3	0	2 claims under vivad se vishwas, 1 by Independent External Monitor of GeM	0	0	-

26. Overview of the entity's material responsible business conduct issues:

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along with its financial implications as per the following format.

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Climate Risk Management	Risk and Opportunity	Physical risks such as floods, drought, water stress, cyclones, temperature extremes and wildfires and transitional risks such as carbon taxation, mandatory use of renewable energy regulations, shifting preference towards green and sustainable alternatives can impact the financial performance of the borrowers. Thus, increasing the credit risk. Reputational risk could also arise in case REC is unable to meet stakeholder expectations on climate related disclosures. While climate change poses a risk, increased awareness about climate change has accelerated adoption of renewable energy, thereby creating an opportunity to finance these projects.	REC has formulated & implemented an ESG policy covering the focus areas inter alia including climate change strategy. Furthermore, REC also plans to integrate climate risk assessment in project evaluation process and prepare climate risk disclosure in line with RBI Draft Disclosure framework on Climate-related Financial Risks in future. REC is positioning itself to ensure that transition to greener energy is at the core of its business growth objectives. During financial year 2023-24, while the company's overall sanction has grown by 34% Y-o-Y basis, sanction in renewables projects has seen a massive growth of 533% Y-o-Y. Going forward REC endeavours to increase the share of clean energy portfolio from current about 8% to 30% of its loan book by financial year 2030.	Negative: potential possibility of asset stranding due to climate risk. Positive: ability to tap into sustainable finance instruments such as green bonds.
2.	Energy and Emissions Management	Opportunity	REC acknowledges the importance of transitioning towards a low carbon economy and thus plans to work towards carbon neutrality in near future. Efficient energy use and emissions reduction not only help in mitigating climate change but also lead to cost savings and enhanced corporate reputation. India's updated Nationally Determined Contribution (NDC) and aim to achieve net-zero emissions by 2070 also serve as an opportunity for REC to increase the share of green projects in its portfolio. REC can explore initiative for actively supporting environmentally favourable projects in sectors like renewable energy, electric vehicles, Green Hydrogen etc. As global and national policies increasingly favour green investments, REC is well positioned to capitalize these trends. REC's proactive approach in financing projects that align with environmental goals not only helps in mitigating climate related risks but also enhances its reputation.	-	Positive: cost savings due to reduced energy use and increased efficiency in own operations. Ability to tap into sustainable finance instruments such as green bonds.

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
3.	Community Development	Opportunity	Community engagement and development can impact the company's social license to operate, reputation and long-term sustainability. By engaging with local communities, REC fosters positive relationships, address community concerns and promote economic development, enhancing project acceptance and minimizing social risks. Additionally, investing in community development initiatives can contribute to social stability, talent retention and overall business success.	-	Positive: improved stakeholder relationships, skill development and shared value creation, enhanced brand reputation, risk mitigation.
4.	Customer satisfaction	Opportunity	Customer satisfaction directly impacts the company's reputation, competitiveness and financial performance. By prioritizing customer satisfaction, REC can build long-term relationship which is essential in for REC's continued success and growth.	-	Positive: increase in revenue, improvement in brand image.
5.	Diversity and Inclusion	Opportunity	Diversity and inclusion promote a culture of respect, equity and innovation within the organization. Embracing diversity in workforce enables us to tap into a broader range of perspectives, experiences and talents, fostering creativity and problem-solving. Inclusion ensures that all employees feel valued and empowered to contribute their best, enhancing morale, productivity and employee retention.	-	Positive: broader talent pool, enhanced brand reputation, improved decision making, reduced employee attrition
6.	Human Capital Development	Opportunity	Human capital is a major pillar for the success of the organization as it influences productivity, retention and organizational success. By fostering a positive work environment and promoting employee engagement, REC can enhance morale, job satisfaction and loyalty. Investing in employee wellbeing initiatives, such as health and wellness programs, promotes physical and mental health, reducing absenteeism and improving overall productivity. Moreover, providing continuous training and development opportunities empowers employees to acquire new skills, adapt to changing job requirements and contribute effectively to REC's mission and goals.	-	Positive: upskilling of employees, improved productivity, reduced employee attrition.

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7.	Sustainable Supply Chain Management	Opportunity	By focusing on sustainable procurement practices, REC can ensure that the goods and services procured do not cause any negative impact to the environment and the society. Furthermore, preferential procurement practices help REC in providing opportunities to disadvantaged business groups such as MSMEs, thus promoting shared value creation.	-	Positive: risk mitigation, cost savings
8.	Corporate Governance and Business Ethics	Risk	Strong governance and business ethics are crucial for maintaining investor and stakeholder trust, ensuring regulatory compliance and mitigating legal and reputational risks. Unethical practices and instances of bribery/corruption can damage brand reputation. Ensuring strong governance practices and communicating the same across all levels in the company is important to build a culture that ensures business outcomes are delivered in the right manner and with responsibility. Effective governance ensures sound decision-making, compliance with laws and regulations and alignment with stakeholder interests, ultimately safeguarding the company's reputation and long-term success. Prioritizing corporate governance and ethics also enhances REC's credibility as a responsible corporate, essential for sustaining trust and fostering sustainable growth.	We have a well-defined governance framework and code of conduct. The management abides by the prescribed rules, practices and processes. REC Management takes responsibility for ensuring compliance with all applicable rules and regulations. Furthermore, we provide comprehensive ethics training for employees, ensure transparent and accountable reporting practices and regularly review and update governance policies.	Negative: potential fines/ penalties in case of violations
9.	Data Privacy and Cyber Security	Risk	Data privacy and cybersecurity are critical as REC handles confidential financial and project related information of clients while processing the financing requests. Protecting data and ensuring compliance with data privacy regulations is essential for maintaining trust and avoiding legal and reputational risks. Cybersecurity measures are necessary to safeguard against data breaches and cyberattacks, which could disrupt operations and harm stakeholders. By prioritizing data privacy and cybersecurity, REC can mitigate risks, preserve reputation and demonstrate its commitment to protecting stakeholders' information, crucial for sustaining trust and business continuity.	We have implemented robust cybersecurity measures, strong governance around information security and data privacy. We conduct regular audits and provide frequent trainings.	Negative: potential fines/ penalties in case of violations

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
10.	Digital Transformation and Innovation	Opportunity	Digital transformation and innovation drive efficiency, competitiveness and growth in an increasingly digitalized world. Embracing digital technologies enables REC to streamline processes, enhance customer experience and develop new business models. Innovation fosters agility and adaptability, allowing REC to respond effectively to changing market dynamics and customer needs. By investing in digital transformation and innovation, REC can unlock new opportunities, improve operational performance and stay ahead of the curve in the rapidly evolving infrastructure finance landscape, essential for long-term success and sustainability.	-	Positive: reduced operational costs, increased employee productivity
11.	Economic Development	Opportunity	Given its role in infrastructure finance and development, REC's ability to withstand economic fluctuations, market volatility and external shocks is essential for maintaining financial stability and fulfilling its mandate effectively. By focusing on economic resilience, REC can support sustainable growth, job creation and infrastructure development, build its brand image and reputation, while contributing to overall economic stability and prosperity. Moreover, resilience ensures continuity in providing financing solutions and support to clients, bolstering confidence and building trust in the organization's ability to weather economic challenges and deliver long-term value.	-	Positive: increased revenue
12.	Regulatory Compliance	Risk	Regulatory compliance ensures adherence to laws, regulations and industry standards governing operations. By complying with regulatory requirements, REC can mitigate legal and financial risks, maintain trust with stakeholders and uphold reputation as a responsible company. Failure to comply with regulations could result in penalties, legal disputes and reputational damage, negatively impacting REC's operations and financial performance. Therefore, prioritizing regulatory compliance is essential for sustaining REC's license to operate, fostering investor confidence and supporting long-term growth and success.	Ensure rigorous compliance programs, provide regular training for employees on regulatory requirements, proactively monitor regulatory changes and implement compliance audits.	Negative: potential fines/ penalties in case of violations

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
13.	Sustainable Finance	Opportunity	By promoting sustainable finance instruments such as Green bonds and loans, REC can mobilize capital for sustainable infrastructure development and support projects that have positive impacts. Under REC Green bond Framework, REC finances the projects related to renewable energy, energy efficiency, pollution prevention and control and clean transportation. REC can also explore expanding the portfolio of sustainable finance instruments in future to help generate positive environmental and social impacts alongside financial returns.	-	Positive: increased revenue
14.	Responsible Lending	Opportunity	ESG evaluation has become increasingly important as stakeholders demand more sustainable and responsible business practices. Integrating ESG factors into risk assessment processes helps to better understand the long-term viability of potential borrowers. It also helps to identify potential environmental, social and governance risks. This helps in making more informed decisions about companies or projects to finance. Integrating ESG considerations into investment decisions not only enhances risk management, but also attracts responsible investors, promotes sustainable development and contributes to long-term value creation.	-	Positive: reduction in possibility of defaults/ stranded assets
15.	Risk Management	Risk	Risk management involves identifying, assessing and mitigating risks that affect the entire organization or industry, rather than just specific projects or investments. By effectively managing risks, REC can safeguard financial stability, reputation and long-term viability.	Implementing robust risk management processes ensures resilience in the face of uncertainties, enhances decision-making and preserves stakeholder trust. It also captures REC's ability to absorb shocks arising from financial and economic stress and meet stricter regulatory requirements related to the complexity and interconnectedness of companies in the industry	Negative: potential fines/ penalties in case of violations

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/ policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	Please refer to Annexure of the report								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes/certifications/labels/ standards adopted by your entity and mapped to each principle.	ISO 27001: 2013								
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Being a Central Public Sector Enterprise, the operational and financial targets for REC for financial year 2023-24 was fixed under the MoU guidelines of the Department of Public Sector Enterprises (DPE), Government of India. The MoU framework contains 12 parameters with marks allocated to each, aggregating a maximum of 100. Several compliances are also spelt out as part of the MoU, which carry negative marks for non-compliance. Total score achieved above 90 results in excellent rating. The MoU document is available at the following link https://recindia.nic.in/mou								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	REC has a Memorandum of Understanding (MoU) with its holding company, PFC, under the framework prescribed in MoU Guidelines issued by the Department of Public Enterprises (DPE). The MoU demarcates key performance parameters for the Company finalized in consultation with the Ministry of Power, Government of India and the performance of the Company is evaluated <i>vis-à-vis</i> the MoU parameters. Owing to its excellent financial performances during the financial year 2022-23, REC has been rated as "Excellent" by DPE and for financial year 2023-24, the company is again expected to be rated as excellent, subject to final evaluation by MoP/DPE.								

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG -related challenges, targets and achievements

At REC Limited, we understand the importance of sustainability in shaping a better future for generations to come. Our commitment goes beyond mere acknowledgment; it is a fundamental part of our ethos and drives our actions at every level of operation. As India experiences rapid growth, we recognize the urgent need to balance development with the preservation of our natural resources and ecosystems.

Sustainability is woven into the fabric of our core business operations. We are dedicated to conducting our activities with minimal impact on the environment while maximizing positive societal impact. We have integrated ESG considerations into our overall business strategy, recognizing that sustainable practices are essential for longterm value creation. ESG factors are now systematically evaluated in decision-making processes, ensuring alignment with environmental and social objectives.

One of our key initiatives involves the promotion of alternate sources of power, particularly solar energy. We have in place a 979 kWp rooftop solar plant at our corporate office and 40 kWp roof top solar plant at RECIPMT, for harnessing renewable energy to meet electricity requirements, thus reducing our carbon footprint. The procurement of electric vehicles (EVs) and the establishment of EV charging stations further demonstrate our efforts to promote clean transportation and reduce emissions. As a part of our CSR initiative, we have installed solar roof-top power panel and micro grids under Smartgram project, reducing dependence on traditional energy sources and improving quality of life.

At REC Limited, we stand at the forefront of the green revolution, spearheading investments in cutting-edge renewable energy ventures while championing energy efficiency initiatives. During financial year 2023-24, while the company's overall sanction has grown by 34% Y-o-Y basis, sanction in renewables projects has seen a massive growth of 533% Y-o-Y. Going forward REC endeavors to increase the share of clean energy portfolio from current about 8% to 30% of its loan book by financial year 2030. Our commitment to financing renewable power generation extends beyond conventional boundaries, embracing solar, wind and hydroelectric endeavours that redefine the energy landscape.

In our quest for sustainability, we also prioritize Responsible Resource Management. We have implemented waste water treatment and reuse systems, minimized water wastage and promoted efficient water management practices.

Our commitment to sustainability extends to our employees as well. We have robust HR policies in place to ensure a safe, inclusive and supportive work environment. We maintain open communication channels with stakeholders and adhere to the highest ethical standards in all our dealings. REC Limited is committed to being a transparent and accountable steward of environmental and financial resources.

Through the adoption of renewable energy solutions, we support India's targets for increasing renewable energy capacity and reducing reliance on fossil fuels. Additionally, our initiatives improve the quality of life in rural communities, reduce air pollution and enhance productivity through the adoption of sustainable practices.

	In financial year 2023-24, our CSR endeavours reached an astounding 7,88,295 beneficiaries, underscoring our unwavering commitment to social progress. From rural electrification projects, educational infrastructural development, building sports facilities, watershed management programs, to vocational training programs, our initiatives are transforming communities and catalysing positive change at the grassroot level. To broaden the base of sports and to promote excellence in sports in India, REC Limited committed ₹100 crore to the National Sports Development Fund (NSDF) through the Sports Authority of India for three years, starting from financial year 2022-23. This ongoing contribution also includes the Government of India's Target Olympic Podium Scheme (TOPS), which aims to support India's finest athletes. REC is dedicated to sourcing products that meet rigorous sustainability criteria, including use of recyclable, environmentally friendly, energy-efficient and locally sourced products. We prioritize partnerships with vendors and suppliers who share our commitment to Environmental, Social and Governance (ESG) principles. We are committed to upholding the highest standards of corporate governance and ethical conduct, ensuring transparency, accountability and integrity in all our operations. Our governance framework is a testament to our commitment to responsible decision-making, risk management and regulatory compliance. As we embark on the next phase of our sustainability journey, we remain resolute in our commitment to driving positive change and creating shared value for all stakeholders. From pioneering renewable energy solutions to fostering social inclusion and ethical governance, we are poised to lead the charge towards a more sustainable and prosperous future.	
8.	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Board of Directors
9.	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability-related issues? Yes/No. If yes, provide details	Yes. Shri Vijay Kumar Singh Director (Projects) (DIN: 02772733) +91-124-271 5517 directorprojects@recindia.com

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee	Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)																	
		P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	Yes, review was undertaken by the Committee of the Board	On quarterly and annual basis																	
Compliance with statutory requirements of relevance to the principles and rectification of any non-compliances	Yes, review was undertaken by the Committee of the Board	On quarterly and annual basis																	
11.	Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	P1	P2	P3	P4	P5	P6	P7	P8	P9	All policies & processes are reviewed by the Board of Directors/senior management from time to time. Further, Company has appointed CRISIL as ESG Consultant for review of our ESG practices/policies and accordingly revised ESG policy was approved by Board of Directors along with amendments to existing policies as suggested by CRISIL and reviewed by our internal team. All such policies have been uploaded on REC website.								

Note: The relevant explanation/information/links are mentioned in the annexure to this report

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	Not applicable								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as "Essential" and "Leadership." While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

PRINCIPLE 1 Businesses should conduct and govern themselves with integrity and in a manner that is Ethical, Transparent and Accountable.

ESSENTIAL INDICATORS

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	12	Training session on ESG, BRSR and NGRBC principles, familiarization programme of Independent Directors to acquaint the Directors with business and operations of the Company, industry structure, nature of services offered.	100%
Key Managerial Personnel	4	Training session on ESG, BRSR and NGRBC principles	100%
Employees other than BoD and KMPs	77	Training session on principles 1,3,4,5,6,7,8,9	88%
Workers	Not applicable		

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine	Principle 1	National Stock Exchange of India Limited (NSE) & BSE Limited (BSE)	₹43,07,000/- including GST	The penalty is associated with compliance related to composition of Board of the Company. BSE & NSE imposed fine of ₹21,53,500/- (including GST) each for the quarters ended March, June, September and December, 2023.	Yes ¹
Settlement	None	None	None	None	None
Compounding fee	None	None	None	None	None
Non-Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)	
Imprisonment	None	None	None	None	
Punishment	None	None	None	None	

¹NSE and BSE had waived off all the penalties imposed and outstanding on the Company.

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed:

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
The number of Independent Directors on the Board, headed by an Executive Chairman, were less than fifty percent of Board Members during the period from April 1, 2023 to January 31, 2024. Further, as on March 31, 2024, the composition of the Board was in compliance with applicable provision of the SEBI Listing Regulations, 2015. REC being a Government Company, the power to appoint Directors on its Board vests with the President of India acting through the Administrative Ministry i.e. Ministry of Power ("MoP") and thereby the Company has no control in the appointment of Directors on its Board. The Company has been requesting & following up with the Ministry of Power, Government of India, for the appointment of requisite number of Independent Directors on its Board. The Company has requested stock exchanges to withdraw/ waive off all the fines imposed and outstanding on the Company in this regard and NSE & BSE vide their letter dated May 3, 2024 & June 25, 2024, respectively has waived off all the fines imposed and outstanding on the Company pertaining till quarter ended March 31, 2024.	1. National Stock Exchange of India Limited (NSE) 2. BSE Limited (BSE)

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy:

REC follows procedures and norms of CVC regarding anti-corruption and anti-bribery and the PIDPI Resolution (GoI Resolution on Public Interest Disclosure and Protection of Informers) relating to complaints for disclosure on any allegation of corruption or misuse of office wherein CVC is Designated Agency. Apart from the above, REC has also adopted a Whistle Blower Policy. Further, the Company's Conduct, Discipline and Appeal (CDA) Rules define the code of conduct for all employees and recognize acts of bribery, corruption, etc. as misconduct. The Company also has a Policy for Prevention of Frauds, which sets forth obligation on part of every employee of the Company for prevention, detection and reporting of any act of fraud, bribery, or corruption. Following is the link for these policy documents at <https://recindia.nic.in/policies>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2023-24	FY 2022-23
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	Not applicable	

6. Details of complaints with regard to conflict of interest:

	FY 2023-24		FY 2022-23	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	-	0	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0	-	0	-

7. Provide details of any corrective action taken or underway on issues related to fines/penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not applicable

8. Number of days of accounts payables [(Accounts payable *365) / Cost of goods/services procured] in the following format:

	FY 2023-24	FY 2022-23
Number of days of accounts payables	9	5

9. Open-ness of business:

Provide details of concentration of purchases and sales with trading houses, dealers and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2023-24	FY 2022-23
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	0	0
	b. Number of trading houses where purchases are made from	0	0
	c. Purchases from Top 10 trading houses as % of total purchases from trading houses	0	0
Concentration of Sales	a. Sales to dealer/ distributors as % of total sales	Not applicable	Not applicable
	b. Number of dealers / distributors to whom sales are made	Not applicable	Not applicable
	c. Sales to top 10 dealer/ distributors as % of total sales to dealer/distributors	Not applicable	Not applicable
Share of RPTs in	a. Purchases (Purchases with related parties /Total Purchases)	0	0
	b. Sales (Sales to related parties / Total Sales)	Not applicable	Not applicable
	c. Loans & advances (Loans & advances given to related parties/ Total loans & advances)	0.0001%*	0
	d. Investments (Investments in related parties/Total Investments made)	0	0

* Total loans and advances with related party for the financial year 2023-24 is ₹30 lakh and for financial year 2022-23 is ₹22 lakh.

LEADERSHIP INDICATORS

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics/principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
1	In addition to the pre-bid meetings, focused Vendor Development Programs were conducted on building the capacity of Micro and Small Enterprises (MSEs) and enhancing their participation in public procurement process	24%*

* REC has invited all MSEs vendors including prospective vendors for the periodic Vendor Development Program. However, 24% vendors participated in the program who are actively associated with REC.

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If yes, provide details of the same.

Yes, REC code of business conduct and ethics for board members and senior management covers *inter-alia* the process of dealing with conflict of interests. As per the code of conduct, the members of the board and senior management:

- Shall not be involved in taking any decision on a subject matter in which a conflict of interest arises or is likely to arise.
- Shall make disclosures to the Board relating to all the material, financial and commercial transactions, if any, where they have personal interest that may have a potential conflict with the interest of the Company at large.
- Shall abstain from discussion, voting or otherwise influencing a decision on any matters that may come before the Board in which they may have a conflict or potential conflict of interest.
- Shall not engage in any activity (be it in providing consultancy service, carrying on business, accepting employment) which is likely to interfere or conflict with their duties/ responsibilities towards Company without prior approval. Shall not invest or associate themselves in any other manner with any supplier, service provider or customer of the company.

The code is available at <https://recindia.nic.in/policies>

PRINCIPLE 2 Businesses should provide goods and services in a manner that is sustainable and safe.

ESSENTIAL INDICATORS

1. Percentage of R&D and capital expenditure (CAPEX) investments in specific technologies to improve the environmental and social impacts of products and processes to total R&D and CAPEX investments made by the entity, respectively.

	Amount	Percentage	Details of improvements in environmental and social impacts
R&D	0	0	Not applicable
Capex	₹23.5 Lakh	1%	Diesel generator was converted in dual fuel generator (70% Diesel and 30% PNG) to reduce pollutants.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Yes, REC has a sustainable procurement policy which serves as an extension of our core values. Through this procurement policy, we promote exemplary standards in economic, social, ethical and environmental practices, recognize and mitigate risks inherent in our procurement procedures and foster ESG awareness among our suppliers. We also endeavor to support and train suppliers on skill enhancement and sustainable practices. We require our suppliers to comply with sustainable procurement policies. Furthermore, we expect our suppliers to adhere to the supplier code of conduct and provide ESG data to REC as and when requested. The senior management is actively involved and oversees the implementation of this policy.

The policy is available at <https://recindia.nic.in>

b. If yes, what percentage of inputs were sourced sustainably?

90.21% of REC's inputs amounting to ₹152.96 crore were sourced sustainably and ESG declaration is taken from respective suppliers. In case of our subsidiary (REC PDCL), procurement predominantly includes very high-value tenders issued on behalf of its clients as a Project Implementation Agency (PIA). These tenders are in the nature of Price Discovery and RECDPCL does not own or pay for these assets. Segregating above procurement, RECDPCL own procurement amounts to ₹47.71 crore in financial year 2023-24 and is largely constitutes of Hiring of Consultancy services (₹45.6 crore). Considering insignificant procurement figure compared to REC, RECDPCL has not been tracking ESG performance of suppliers as of now. However it is confirmed that RECDPCL has started the process for capturing this aspect of procurement and same will be reported going forward. For GHG Emission and other reporting, we have segregated third parties procurement of RECDPCL.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Type of waste	Mechanism
Plastics (including packaging)	Given the nature of business and operations, we do not have material plastic waste, e-waste and other waste. Further, the operations do not generate any hazardous waste.
E-waste	For E-waste and plastic waste generated, we partner with authorized recyclers for ensuring sustainable waste management.
Hazardous waste	Furthermore, we have introduced mechanisms to promote use of products made of recycled plastic and reduced plastic use to very minimal by encouraging use of substitutes such as ceramic glasses, steel bottles, jute bags, cloth bags etc.
Other waste	

4. **Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

No, since REC is a NBFC, Extended Producer Responsibility is not applicable to REC.

LEADERSHIP INDICATORS

1. **Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for the manufacturing industry) or for its services (for the service industry)? If yes, provide details in the following format:**

NIC Code	Name of Product / Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
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Life Cycle Assessment is not applicable for REC. Being a non banking finance company, the main products offered by REC include rupee term loans, short-term and medium-term loans etc. to borrowers for schemes and projects in the power and infrastructure & logistics sector value chain. Further, as nodal agency for various programmes of the Government of India, REC contributes towards the overall development of power sector. The loan products are developed in line with the market norms, borrower requirements and applicable statutory and regulatory provisions of RBI and/or any other regulators. Details of loan products offered by the Company are available at the website at <https://recindia.nic.in/financial-products>. REC has prepared Environmental Social Impact Analysis (ESIA) report, under Official Development Assistance - KfW-III, which is applicable for financing renewable energy projects. The same serves as the roadmap for REC to address & social issues in financing renewable power projects.

2. **If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same:**

Name of Product / Service	Description of the risk / concern	Action Taken
No significant social or environmental concern / risk is envisaged from production or disposal of the Company's products / services. REC is not a manufacturing Company. However, as a part of its appraisal process for all the power project it finances, REC identifies and assess the potential environmental risks of the projects. Environmental issues, if any, are identified through due diligence, site visits and review of applicable compliances etc. REC is also financing installation of pollution control equipment in thermal power plants, in line with Government directives. This includes installation of Flue Gas Desulphurization (FGDs), Selective Catalytic Reduction (SCR) and Electrostatic Precipitators (ESP), which contribute towards curbing of harmful emissions and particulate matter.		

3. **Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).**

Indicate input material	Recycled or re-used input material to total material	
	FY 2023-24	FY 2022-23
Not applicable. There are no major input materials used since the nature of operations is focused on lending, furthermore, the percentage of recycled or reused input material used by the Company is negligible		

4. **Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled and safely disposed:**

	FY 2023-24			FY 2022-23		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	Not applicable, REC does not manufacture any products; hence, there is no product or packaging material reclaimed.					
E-waste						
Hazardous waste						
Other waste						

Note: The change results from recent improvements in our data verification processes, ensuring the utmost accuracy and reliability

5. **Reclaimed products and their packaging materials (as percentage of products sold) for each product category.**

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
Not applicable, REC does not manufacture any products; hence, there are no product or packaging materials reclaimed.	

PRINCIPLE 3 Businesses should respect and promote the well-being of all employees, including those in their value chains.

ESSENTIAL INDICATORS

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees											
Male	434	434	100	434	100	NA	NA	434	100	434	100
Female	78	78	100	78	100	78	100	NA	NA	78	100
Total	512	512	100	512	100	78	100	434	100	512	100
Other than Permanent employees											
Male	399	364	91	361	90	NA	NA	82	21	1	Nil
Female	69	66	96	64	93	69	100	NA	NA	0	Nil
Total	468	430	92	425	91	69	100	82	21	1	Nil

Applicability of the measures were reviewed and all the above benefits covers all our permanent employees, including employees eligible otherwise. Accordingly, reporting is updated compared to last year.

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/ A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E/ A)	Number (F)	% (F / A)
Permanent workers											
Male	Not applicable										
Female											
Total											
Other than Permanent workers											
Male	Not applicable										
Female											
Total											

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

	FY 2023-24	FY 2022-23
Cost incurred on well- being measures as a % of total revenue of the company	0.023%	0.024%

2. Details of retirement benefits:

Benefits	FY 2023-24			FY 2022-23		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
Provident Fund	100	NA	Y	100	NA	Y
Gratuity	100	NA	Y	100	NA	Y
ESI	NA	NA	NA	NA	NA	NA
Others-NPS/ PRMS etc.	100	NA	Y	100	NA	Y

Note: Above data corresponds to Permanent Employees.

3. Accessibility of workplaces:

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard:

Yes, the premises are accessible to differently abled employees, with elevators and ramps, wheelchair accessible restrooms and direction signs in braille at various points. Further, the corporate website of REC complies with World Wide Web Consortium (W3C) Web Content Accessibility Guidelines (WCAG) 2.0 level AA. This will enable people with visual impairment to access the website using assistive technologies, such as screen readers. The information on the website is accessible with different screen readers, such as JAWS, NVDA, SAFA, Supernova and Window-Eyes. Further information about the same can be accessed at <https://recindia.nic.in/screen-reader-access>.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy:

Yes, the Company has an Equal Opportunity policy. The policy is available at <https://recindia.nic.in>

5. Return to work and retention rates of permanent employees and workers that took parental leave:

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	Not applicable	
Female	100%	100%		
Total	100%	100%		

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief:

	Yes/No (If yes, then give details of the mechanism in brief)
Permanent Workers	Not applicable
Other than Permanent Workers	
Permanent Employees	Yes, REC has a grievance redressal mechanism to receive and redress grievances of the employees. The employee can raise the grievance with the reporting manager. The reporting manager will try to resolve the grievance within 7 days. In case the employee is not satisfied with the redressal, She/he can submit the grievance to the concerned HoD within 15 days. The HoD will try to resolve the grievance within 7 days. In case the employee is still not satisfied with the decision or fails to receive response within stipulated time frame, She/he can escalate the grievance to the grievance redressal Committee. The decision of the Committee will be communicated to the employee within 45 days. In exceptional cases, the aggrieved employee who is still not satisfied, will have an option to appeal to CMD within 10 days from the date of receipt of decision from grievance Committee. The CMD will take a decision and communicate the same within 30 days. All grievances received are tracked and monitored on regular intervals. The decision notes are also maintained for future records.
Other than Permanent Employees	

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Yes, REC has recognized a union of its non-supervisory permanent employees and an association of its executives. Membership details is as below :

Category	FY 2023-24			FY 2022-23		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees						
Male	434	434	100	353	353	100
Female	78	78	100	64	64	100
Total	512	512	100	417	417	100
Total Permanent Workers						
Male	Not applicable					
Female						
Total						

8. Details of training given to employees and workers:

Category	FY 2023-24					FY 2022-23*				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	833	799	96	725	87	353	340	96	340	96
Female	147	142	97	132	90	64	60	94	60	94
Total	980	941	96	857	87	417	400	96	400	96
Workers										
Male	Not applicable									
Female										
Total										

* Record keeping and data collation/verification methodology was reviewed and accordingly, information has been updated ensuring utmost accuracy and reliability wherever required.

9. Details of performance and career development reviews of employees and worker:

Category	FY 2023-24			FY 2022-23		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male [^]	434	434	100%	353	353	100%
Female [^]	78	78	100%	64	64	100%
Total	512	512	100%	417	417	100%
Workers						
Male	Not applicable					
Female						
Total						

[^] Permanent employees

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system:

REC is committed to provide a safe and healthy workplace by minimizing the risk of accidents, injury and exposure to health risks and it complies with applicable laws and regulations with respect to safety at workplace. The nature of REC's business operations poses no occupational health and safety hazards per se. The fire extinguishers, fire exits, first aid boxes, etc. are monitored and evaluated on a regular basis. Periodic internal communication and alerts are sent out to employees and awareness sessions, trainings and mock drills are conducted on safety related aspects such as first-aid, fire safety, including evacuation drills. There are periodic checks on electrical and fire safety parameters and the issues highlighted are rectified immediately. REC has implemented several initiatives to ensure a safe and healthy working environment for its employees including organizing annual health check-ups, medical camps and regular interactions with health professionals. REC has also established a comprehensive medical policy to safeguard the health and well-being of employees. This policy includes coverage for medical expenses as well as provisions for medical leave.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

This is not directly applicable given the nature of business. However, REC carries out routine workplace inspections. Furthermore, REC has instituted a rigorous procedure to address electrical and fire hazards, which include regular testing and training for emergency response activities. There are regular audits done to assess the electrical and fire safety parameters, including daily checks of emergency exits and related equipment. We also conduct quarterly mock fire drills and first-aid training.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Yes/ No)

Yes. REC has a process to report work-related hazards.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No).

Yes, REC organizes regular health check-ups, medical camps and interactions with health professionals. Initiatives are undertaken to build awareness around critical issues related to heart care, diabetes, cancer etc. Apart from this the employees and their dependents are also covered under the health insurance policy.

11. Details of safety related incidents:

Safety Incident/Number	Category*	FY 2023-24	FY 2022-23
Lost Time Injury Frequency Rate (LTIFR) per one million-person hours worked)	Employees	Nil	Nil
	Workers	Nil	Nil
Total recordable work-related injuries	Employees	Nil	Nil
	Workers	Nil	Nil
No. of fatalities	Employees	Nil	Nil
	Workers	Nil	Nil
High consequence work-related injury or ill-health (excluding fatalities)	Employees	Nil	Nil
	Workers	Nil	Nil

*Including the contract employees

12. Describe the measures taken by the entity to ensure a safe and healthy workplace:

REC acknowledges the significance of ensuring a healthy and safe working environment for all of its employees and contractors. We have adopted measures to ensure periodic electrical and fire safety parameters are checked and necessary action is taken in a timely manner. In order to provide improved health care facilities to the employees, part-time services of doctors are engaged to provide onsite medical facilities. We conduct sessions with expert speakers and encourage employees to adopt a healthy lifestyle. To facilitate recreation and a healthy lifestyle, a Gymnasium is available for employees on the premises. Various Yoga programs and Health Camps are also organized by the company regularly for the employees.

13. Number of Complaints on the following made by employees and workers:

	FY 2023-24			FY 2022-23		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	Nil	Nil	No complaints	Nil	Nil	No complaints
Health & Safety	Nil	Nil	No complaints	Nil	Nil	No complaints

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	REC strives to keep the workplace environment healthy, safe and hygienic, upholding the dignity of the employees. All offices are internally assessed periodically through internal audits for various aspects of health and safety measures and related working conditions.
Working conditions	

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks/concerns arising from assessments of health & safety practices and working conditions:

Not applicable. REC takes various measures to ensure safety in its premises, no significant risks/ concerns have arisen from the internal assessments of health and safety practices and working conditions.

LEADERSHIP INDICATORS

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

(A) Employees-Yes, the Company provides rehabilitation package in case of death or permanent disability to the employee and/or his/her family member as declared by the employee.

(B) Worker- Not applicable.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners:

Being NBFC, REC includes in the terms & conditions of loans granted to its borrowers, necessary conditions stipulating timely deposit of their statutory dues, obtaining of statutory clearances and meeting such other similar obligations as per statutory requirements etc. The borrowers are also required to furnish compliance of the same to the Company at various stages.

3. Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2023-24	FY 2022-23	FY 2023-24	FY 2022-23
Employees	Nil	Nil	Nil	Nil
Workers	Not applicable			

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

Yes. REC is a CPSE, which follows employment norms of DPE in cases of retirement or termination of employment. REC also provides post-retirement medical benefits and other welfare measures to its retired employees.

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	Nil
Working Conditions	Nil

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners:

Not Applicable.

PRINCIPLE 4 Businesses should respect the interests of and be responsive to all its stakeholders.

ESSENTIAL INDICATORS

1. Describe the processes for identifying key stakeholder groups of the entity:

REC has a stakeholder engagement policy outlining the approach for identifying, engaging and managing stakeholders. In the context of this policy, a stakeholder denotes individuals or groups who are either directly or indirectly impacted by the activities of REC, along with those who hold vested interests in REC's business operations or possess the capacity to influence the outcomes of such operations. REC recognizes employees, business associates (suppliers, vendors, partners and service providers), shareholders/investors, banking institutions, regulatory bodies, customers and neighboring communities as pivotal stakeholders. REC has mapped its internal and external stakeholders. Internal stakeholders include employees and staff of the Company; and external stakeholders include business associates (suppliers, vendors, partners), shareholders/investors, bondholders, creditors, borrowers, banking institutions, governmental bodies and regulatory authorities including State Government(s), Reserve Bank of India, Ministry of Corporate Affairs, Securities and Exchange Board of India, Stock Exchanges etc., customers and neighboring communities. The process of identifying our stakeholders continues to be an ongoing undertaking, which enables us to stay up to date with developments in their needs and respond accordingly. We proactively address their expectations, mitigate potential risks and build lasting relationships that are essential to our prosperity, by understanding the needs and concerns of our stakeholders.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group:

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Shareholders	No	Email/SMS/Website/Letters/ Telephone/Newspaper/ Dissemination of information through Stock Exchange Mechanism etc.	Quarterly	Communication of financial results, adoption of financial statement and transaction of ordinary and special business from time to time. Addressing requests/grievances of shareholders from time to time
Bondholders	No	Email/Website/Dissemination of information through Stock Exchange Mechanism	Need based	Allotment, Interest Servicing, Redemption Payment, Bond Certificate/Demat Credit. Addressing requests/ grievances of bondholders from time to time.
Employees	No	Emails/Notice Board/ Website	Need based	Inform the employees of the key developments within the organization, sharing company's progress both on operational and financial front, etc., discussion on ESG aspects, NGRBC principles, employee wellbeing and development, human rights, health and safety etc.
Community	No	Surveys/Impact assessment/ CSR Activities/Personal interactions/Project-based discussions	Need based	Community development and wellbeing, CSR projects
Vendors	No	Email/SMS/Meetings/Letters/ Telephone	Need based	Procurement of goods/services through tendering/ GeM Portal process, redressal of their grievances. Vendor Development Programmes are also organised from time to time.
Customers	No	Email/SMS/Website/ Letters/ Telephone	Need based	Customer satisfaction surveys

While majority of stakeholder groups listed here are not classified as Vulnerable or Marginalized, there are segments within these groups that are deemed as Vulnerable or Marginalized. This includes individuals from economically disadvantaged sections, lower income groups, women, children, people with disability, MSME enterprises, enterprises owned by SC/ST and women entrepreneurs. REC is committed to uplifting these marginalized segments of society by providing them trainings and equal opportunities.

LEADERSHIP INDICATORS

- 1. Provide the processes for consultation between stakeholders and the Board on economic, environmental and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

REC, within the boundaries of relevant regulations, ensures clear and open communication and provides access to pertinent information regarding its decisions affecting relevant stakeholders. This is balanced with the need to safeguard confidential competitive strategies and information.

REC already has various Board-approved policies in place, to address the economic, environmental and social topics relating to its business. These policies have been developed based on the input from relevant stakeholders. Further, to serve as a guiding document for all ESG initiatives and activities undertaken by REC, the Board of Directors of the Company has approved the Environment, Social & Governance (ESG) Policy of REC.

Engagement with stakeholders is an ongoing process integrated into business activities of REC. Typically, business units lead this engagement, with senior executives participating as necessary. The Board of Directors is regularly briefed on the outcomes of these engagements and offers guidance and insights on related matters.

- 2. Whether stakeholder consultation is used to support the identification and management of environmental and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes, REC has approved its Environment Social and Governance (ESG) Policy to contribute towards society. The ESG policy incorporates input received from all stakeholders. The ESG policy framework of the Company, *inter-alia*, comprises environmental impact considerations in its operational, financial and risk management linked decision-making. Further, to ensure the financing of clean energy, suitable conditions related to Environmental, Health, Safety and Social (EHSS) aspects, are being added to the loan agreement/sanction.

- 3. Provide details of instances of engagement with and actions taken to, address the concerns of vulnerable/marginalized stakeholder groups.**

REC is registered on GeM (Government e-Marketplace), Sambandh, Samadhan and TReDS (Trade Receivables Discounting System) portals of the Government of India (GoI) and all offices of REC, including regional offices, are effectively using the same and Company also promotes procurement from MSEs & women entrepreneurs and extends certain facilities in its procurement procedures to registered MSEs. It is also noteworthy, that there was no complaint against REC regarding delay in payments or any other grievance by any MSE vendor, on Government of India's Samadhan portal during the year. The Company also makes efforts on a regular basis to reach out to those equity shareholders and bondholders, who have unclaimed / unpaid dividends amounts/shares or unclaimed redemption amounts lying with the Company, so that such investors do not miss out on getting their rightful dues. Furthermore, our CSR initiatives also focus on upliftment of marginalized, poor, needy, deprived, underprivileged and differently abled persons.

PRINCIPLE 5 Businesses should respect and promote human rights.

ESSENTIAL INDICATORS

- 1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity in the following format:**

Category	FY 2023-24			FY 2022-23#		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees / workers covered (D)	% (D / C)
Employees						
Permanent	512	467	91.21	417	375	89.92
Other than permanent	468	414	88.46	2	2	100
Total	980	881	89.90	419	377	89.97
Workers						
Permanent						
Other than permanent						
Total						

#Record keeping and data collation/verification methodology was reviewed and accordingly, information has been updated ensuring utmost accuracy and reliability wherever required.

- 2. Details of minimum wages paid to employees and workers:**

Category	FY 2023-24					FY 2022-23				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees*										
Permanent										
Male	434	Nil	Nil	434	100	353	Nil	Nil	353	100
Female	78	Nil	Nil	78	100	64	Nil	Nil	64	100
Other than Permanent										
Male	399	19	4.76	380	95.24	2	Nil	Nil	2	100
Female	69	2	2.90	67	97.10	0	Nil	Nil	Nil	Nil
Workers										
Permanent										
Male	Not Applicable									
Female										
Other than Permanent										
Male	Not Applicable									
Female										

*All permanent employees are paid remuneration as per the guidelines of DPE which are higher than the minimum wages.

3. Details of remuneration/salary/wages:

a. Median remuneration/wages:

Amount in ₹

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)	2*	66,04,915.00	Nil*	Nil
Key Managerial Personnel	3	91,94,056.36	Nil	Nil
Employees other than BoD and KMP	433^	27,26,527.80	78^	28,60,655.00
Workers	Not applicable			

* Details of Remuneration submitted include that of only Chairman and Managing Director & Whole-time Director(s).

^ Permanent employees

b. Gross wages paid to females as % of total wages paid by the entity:

	FY 2023-24	FY 2022-23
Gross wages paid to females as % of total wages paid by the entity	14.18%	15.20%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

Yes.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

REC has a human rights policy which applies to all stakeholders involved with the company, including all employees (permanent or contractual), contractors/ suppliers, partners and consultants. We expect all stakeholders to adhere to human rights principles in their dealings with REC. REC prohibits all forms of human trafficking, forced labour and child labour within its operations and value chain. REC is committed to providing equal remuneration for work of equal value and ensuring non-discrimination in all aspects of employment, including recruitment, hiring, promotion, compensation and termination. We prohibit discrimination based on gender, age, religion, disability, sexual orientation, or any other protected characteristic.

To address reports of human rights breaches effectively, REC has established a robust, efficient, fair, transparent and open grievance redressal mechanism to address concerns of all stakeholders. The mechanism is designed to track, monitor and respond to such concerns promptly, providing effective solutions to aggrieved parties. Any individual who wishes to report human right grievances can reach out to the respective stakeholder grievance redressal officer as per REC stakeholder grievance redressal policy.

The grievance redressal mechanism establishes a structured and equitable procedure through which both internal and external stakeholders can voice and address their grievances, concerns and complaints. To ensure compliance with the policy and procedures, REC might conduct regular audits and assessments of its own operations as well as for value chain partners to monitor and evaluate adherence to human rights principles.

6. Number of Complaints on the following made by employees and workers:

	FY 2023-24			FY 2022-23		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	Nil	Nil	-	Nil	Nil	-
Discrimination at workplace	Nil	Nil	-	Nil	Nil	-
Child Labour	Nil	Nil	-	Nil	Nil	-
Forced Labour/ Involuntary Labour	Nil	Nil	-	Nil	Nil	-
Wages	Nil	Nil	-	Nil	Nil	-
Other Human Rights related issues	Nil	Nil	-	Nil	Nil	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2023-24	FY 2022-23
Total Complaints reported under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	Nil	Nil
Complaints on POSH as a % of female employees / workers	Nil	Nil
Complaints on POSH upheld	Nil	Nil

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases:

REC believes that a sustainable organization rests on the foundation of ethics and respect for human rights. The Company ensures diversity and equal opportunities in the workplace and upholds that career advancement is based on talent and performance. All stakeholders internal as well as external irrespective of their position, caste, creed, gender and religion, are given due respect and dignity.

Cases related to prevention of sexual harassment at workplace are treated with utmost sensitivity and confidentially in line with the guidelines of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013.

REC prohibits retaliation against any employee who reports in good faith any suspected or potential violation of the Code of Ethics and Personal Conduct of the Company which includes aspects of discrimination and harassment. Pursuant to the Whistle Blower Policy of the Company, a necessary mechanism has been put in place to provide protection to the complainant, wherever required. The Whistle Blower Policy is available at <https://recindia.nic.in/policies>

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes.

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%
Forced/involuntary labour	100%
Sexual harassment	100%
Discrimination at workplace	100%
Wages	100%
Others – please specify	-

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above:

Not applicable.

LEADERSHIP INDICATORS

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints:

Not applicable. There were no grievances/ complaints raised in the reporting year.

2. Details of the scope and coverage of any Human rights due diligence conducted:

While REC has a human rights policy and includes human rights requirements in declarations from vendors. There was no human rights due diligence conducted in the reporting year.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, the corporate office premises are accessible to differently abled visitors, with elevators and ramps, wheelchair accessible restrooms and direction signs in braille at various points. Further, the corporate website of REC Limited complies with World Wide Web Consortium (W3C) Web Content Accessibility Guidelines (WCAG) 2.0 level AA. This will enable people with visual impairments to access the website using assistive technologies, such as screen readers. The information on the website is accessible with different screen readers, such as JAWS, NVDA, SAFA, Supernova and Window-Eyes. Further information about the same can be accessed at <https://recindia.nic.in/screen-reader-access>.

4. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	REC is taking mandatory ESG declarations as a part of tendering process. However, no assessment was done for value chain partners.
Discrimination at workplace	
Child Labour	
Forced Labour/Involuntary Labour	
Wages	

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above:

Not applicable.

PRINCIPLE 6 Businesses should respect and make efforts to protect and restore the environment.
ESSENTIAL INDICATORS
1. Details of total energy consumption (GigaJoule : GJ) and energy intensity:

Parameter	FY 2023-24	FY 2022-23
From renewable sources		
Total electricity consumption (A) (GJ)	4,965	4,854
Total fuel consumption (B) (GJ)	Nil	Nil
Energy consumption through other sources (C) (GJ)	Nil	Nil
Total energy consumed from renewable sources (A+B+C) (GJ)	4,965	4,854
From non-renewable sources		
Total electricity consumption (D) (GJ)	7,930	6,640
Total fuel consumption (E) (GJ)	2,119	1,474
Energy consumption through other sources (F) (GJ)	Nil	Nil
Total energy consumed from non-renewable sources (D+E+F) (GJ)	10,049	8,114
Total energy consumed (A+B+C+D+E+F)	15,014	12,968
Energy intensity per crore of turnover (Total energy consumed in GJ / Revenue from operations in crore)	0.32	0.33
Energy intensity per crore of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed GJ / Revenue from operations in crore adjusted for PPP)	7.08	7.52
Energy intensity in terms of physical output	Not Applicable	Not Applicable
Energy intensity (optional) – the relevant metric may be selected by the entity	Not Applicable	Not Applicable

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? - Yes, REC has undertaken reasonable assurance for BRSR core parameters from M/s Corporate Professionals.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? Yes/No. If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any:

Not applicable.

3. Provide details of the following disclosures related to water:

Parameter	FY 2023-24	FY 2022-23
Water withdrawal by source (in kilolitres)		
(i) Surface water	Nil	Nil
(ii) Groundwater	Nil	Nil
(iii) Third party water	38,121.17*	33,634.32
(iv) Seawater / desalinated water	Nil	Nil
(v) Others	Nil	Nil
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	38,121.17	33,634.32
Total volume of water consumption (in kilolitres)	38,121.17 **	33,634.32
Water intensity per crore of turnover (Total water consumption in KI / Revenue from operations in crore)	0.80	0.85
Water intensity per core of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption in KI / Revenue from operations in crore adjusted for PPP)	17.98	19.49
Water intensity in terms of physical output	Not Applicable	Not Applicable
Water intensity (optional) – the relevant metric may be selected by the entity	Not Applicable	Not Applicable

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. - Yes, REC has undertaken reasonable assurance for BRSR core parameters from M/s Corporate Professionals.

*Please note that REC is a NBFC and not a manufacturing entity. Consequently, our water consumption is minimal and the data reported is as per water bills.

**Please note that REC is a NBFC and hence water withdrawal is assumed to be equal to water consumed as water discharged is negligible

4. Provide the following details related to water discharged:

Parameter	FY 2023-24	FY 2022-23
Water discharge by destination and level of treatment (in kiloliters)		
(i) To Surface water	REC is a NBFC, water discharge is very minimal, however REC Corporate office designed to have zero water discharge, as water collected from rain water and third party (HUDA) is being fully utilized in the building including re-cycling of waste water (Sewage water) through STP and again utilizing the same in Horticulture and flushing.	
No treatment		
With treatment – please specify level of treatment		
(ii) To Groundwater		
No treatment		
With treatment – please specify level of treatment		
(iii) To Seawater		
No treatment		
With treatment – please specify level of treatment		
(iv) Sent to third parties		
No treatment		
With treatment – please specify level of treatment		
(v) Others		
No treatment		
With treatment – please specify level of treatment		
Total water discharged (in kiloliters)		

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. - Yes, REC has undertaken reasonable assurance for BRSR core parameters from M/s Corporate Professionals.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation:

REC being a Financial Services company, implementation of zero liquid discharge mechanism is not an obligation. However, the Corporate Office Building of REC, located in

Gurugram, is a zero liquid discharge building designed to use wastewater drained after Reverse Osmosis (ROs) and Rain water used for Solar cleaning, HVAC / Chillers, Toilets & floor washing, water bodies etc. in. Further, Building is designed to use water treated through STP, for Horticulture and flushing purposes.

6. Please provide details of air emissions (other than GHG emissions) by the entity:

Parameter	Please specify unit	FY 2023-24	FY 2022-23
NOx	Tonnes	0.004833261	-
SOx	Tonnes	0.000670596	
Particulate matter (PM)	Tonnes	0.000856466	
Carbon Monoxide	Tonnes	0.000766082	

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. - Yes, REC has undertaken reasonable assurance for BRSR core parameters from M/s Corporate Professionals.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity:

Parameter	Unit	FY 2023-24	FY 2022-23*
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	555.37	281.92
		tCO ₂ 140.03	tCO ₂ 98.64
		CH ₄ - tCO ₂ e 0.68	CH ₄ - tCO ₂ e 0.56
		N ₂ O - tCO ₂ e 0.46	N ₂ O - tCO ₂ e 0.42
		HFCs - tCO ₂ e 414.20	HFCs - tCO ₂ e 182.30
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	1577.17	1320.59
		tCO ₂ 1577.17	tCO ₂ 1320.59
		CH ₄ - tCO ₂ e 0	CH ₄ - tCO ₂ e 0
		N ₂ O - tCO ₂ e 0	N ₂ O - tCO ₂ e 0
		HFCs - tCO ₂ e 0	HFCs - tCO ₂ e 0
Total Scope 1 and Scope 2 emission intensity per crore of turnover (Total Scope 1 and Scope 2 GHG emissions in MT/ Revenue from operations in crore)	Metric tonnes of CO ₂ equivalent/ INR	0.045	0.041
Total Scope 1 and Scope 2 emission intensity per crore of turnover adjusted for Purchasing Power Parity(PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations in crore adjusted for PPP)	Metric tonnes of CO ₂ equivalent/ USD	1.005	0.929
Total Scope 1 and Scope 2 emission intensity in terms of physical output		Not Applicable	Not Applicable
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		Not Applicable	Not Applicable

* Record keeping and data collation/verification methodology was reviewed and sanitized further and accordingly, information has been updated ensuring utmost accuracy and reliability wherever required.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. - Yes, REC has undertaken reasonable assurance for BRSR core parameters from M/s Corporate Professionals.

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details:

REC, in line with the Government's outlook for renewable energy sector has been promoting competitive financing for renewable projects. REC has introduced various policies for competitive financing of clean energy projects across the country, including solar, wind, biomass projects and e-mobility. The total sanctions for renewable energy projects during the financial year 2023-24 were ₹1,36,516.17 crore towards 82 renewable energy projects, with aggregate installed generation capacity of 17,464.8 MW. Moreover, company's sanction in renewables projects has seen an astonishing growth of 533% Y-o-Y, while overall sanction

has grown by 34% Y-o-Y. The Company's policies for renewable energy projects are reviewed from time to time, to meet the ever-evolving needs of this dynamic sector. REC's financing norms for renewable energy projects can be accessed from the corporate website at <https://recindia.nic.in/loan-policy-circular>. REC is also the first Indian PSU to raise money from the international markets through Green Bonds listed on International Securities Market segment of London Stock Exchange in year 2017, with tenure of 10 years, the proceeds of which are applied for financing or re-financing of eligible green projects as per the Climate Bond Standards.

Diesel generator was converted in dual fuel generator (70% Diesel and 30% PNG) to reduce pollutants

9. Provide details related to waste management by the entity in the following format:

Parameter	FY 2023-24	FY 2022-23
Total Waste generated (in metric tonnes)		
Plastic waste (A)	0.55	Nil
E-waste (B)	0.53*	0.16*
Bio-medical waste (C)	Nil	Nil
Construction and demolition waste (D)	Nil	Nil
Battery waste (E)	Nil	Nil
Radioactive waste (F)	Nil	Nil
Other Hazardous waste. Please specify, if any. (G)	Nil	Nil
Other Non-hazardous waste generated (H).	35.45*	Nil
Total (A+B + C + D + E + F + G + H)	36.53*	0.16*
Parameter	FY 2023-24	FY 2022-23
Waste intensity per crore of turnover (Total waste generated in MT / Revenue from operations in crore)	0.00077	0.000
Waste intensity per crore of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated in MT / Revenue from operations in crore adjusted for PPP)	0.01723	0.00009
Waste intensity in terms of physical output	Not Applicable	Not Applicable
Waste intensity (optional) – the relevant metric may be selected by the entity	Not Applicable	Not Applicable
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste: E-waste	-	-
(i) Recycled	-	-
(ii) Re-used	-	-
(iii) Other recovery operations	-	-
Total	0.53*	0.16*
Category of waste - Other Non-hazardous waste generated		
(i) Recycled	16.2*	-
(ii) Re-used	-	-
(iii) Other recovery operations – Composting	19.8*	-
Total	36.00*	-
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	Nil	Nil
(ii) Landfilling	Have hired Govt. Authorised 3 rd Party Waste Management Vendor for all our office waste management as per Government Guidelines.	
(iii) Other disposal operations		
Total		

*Note: REC as NBFC waste generated is office waste only and is very minimal.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? - Yes, REC has undertaken reasonable assurance for BRSR core parameters from M/s Corporate Professionals.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes:

Disposal of old, un-serviceable & obsolete IT equipment, identified as e-waste, is done through registered recyclers/ re-processors under Central Pollution Control Board, Government of India and State Pollution Control Committee/

Board Electronic waste, by following the procedure defined under REC's Procurement Guidelines.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals/clearances are required, please specify details in the following format:

Sl. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
Not applicable. None of the operations/ offices are in/around ecologically sensitive area.			

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
REC being a NBFC, finances infra projects but does not own or execute/implement any project. For renewable energy projects funded by REC, the Company requires the borrowers to submit Environmental and Social Impact Assessment (ESIA) as per applicable rules and regulations.					

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder. Yes/No. If not, provide details of all such non-compliances in the following format:

Sl. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken if any
REC complies with all applicable environmental regulations in respect of its premises and operations. The Company also covers environmental concerns in the due diligence of the projects it finances.				

LEADERSHIP INDICATORS

1. **Water withdrawal, consumption and discharge in areas of water stress (in kiloliters):**

For each facility / plant located in areas of water stress, provide the following information:

- (i) Name of the area: Not applicable
(ii) Nature of operations: Other Financial Services and Activities - Other Credit Granting
(iii) Water withdrawal, consumption and discharge: Not applicable

Parameter	FY 2023-24	FY 2022-23
Water withdrawal by source (in kilolitres)	Not applicable	
(i) Surface water		
(ii) Groundwater		
(iii) Third party water		
(iv) Seawater / desalinated water		
(v) Others		
Total volume of water withdrawal (in kilolitres)		
Total volume of water consumption (in kilolitres)		
Water intensity per rupee of turnover (Water consumed / turnover)		
Water intensity (optional) – the relevant metric may be selected by the entity		
Water discharge by destination and level of treatment (in kilolitres)	Not applicable	
(i) Into Surface water		
- No treatment		
- With treatment – please specify level of treatment		
(ii) Into Groundwater		
- No treatment		
- With treatment – please specify level of treatment		
(iii) Into Seawater		
- No treatment		
- With treatment – please specify level of treatment		
(iv) Sent to third parties		
- No treatment		
- With treatment – please specify level of treatment		
(v) Others		
- No treatment		
- With treatment – please specify level of treatment		
Total water discharged (in kilolitres)		

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? - Yes, REC has undertaken reasonable assurance for BRSR core parameters

2. Please provide details of total Scope 3 emissions & its intensity:

Parameter	Unit	FY 2023-24	FY 2022-23*
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	10,295.23	5,254.77
Total Scope 3 emissions per crore of turnover	Metric tonnes of CO ₂ equivalent/ INR in crore	0.22	0.22
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity	-	Not Applicable	Not Applicable

* Record keeping and data collation/verification methodology was reviewed and sanitized further and accordingly, information has been updated ensuring utmost accuracy and reliability wherever required. Further, third party tenders is segregated from RECPDCL procurement to calculate emission.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. - Yes, REC has undertaken reasonable assurance for BRSR core parameters from M/s Corporate Professionals.

3. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities:

Not applicable.

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives as per the following format:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1.	Use of energy efficient façade and radiant cooling slabs	REC Corporate Office Building located in Gurugram is designed and constructed by using energy efficient façade and radiant cooling slabs to lower about 30% HVAC load requirement in the building in order to conserve energy.	~30% reduction in HVAC load requirement
2.	Solar plant	Solar plant of 979 kWp has been installed at top of the REC Corporate Office building (supported by solar pergola structure) to cater REC office load requirement by using clean and renewable source of energy.	987.43 tCO ₂ e emissions reduced due to use of renewable energy
3.	Reducing paper consumption	For minimizing paper consumption, REC uses 'E-office' system in all its offices across the country. REC has actively used remote working methods through secure IT systems and processes, especially after onset of the pandemic, for ensuring business continuity while taking precautions for the health of its employees.	-
4.	Conversion of existing Diesel generator to dual fuel generator	Converted existing 1010 kVA Diesel generator Set at REC Corporate office into Dual Fuel (70% PNG and 30% Diesel) to minimize GHG emissions.	-

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link:

Yes, REC has implemented the Business Continuity and Disaster Recovery Plan. Requisite training programs are conducted for the teams to be prepared to respond in a crisis. Disaster drills exercises are conducted at regular intervals to assess the efficacy of procedures and guidelines as mentioned in the plan. Such drills are audited through external CERT-In certified auditors. Observations received from such audits are considered as a part of continuous improvements. The plan is reviewed at periodic intervals and the management and board are kept abreast of any developments or changes in the BCP.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard?

REC is also financing the installation of pollution control equipment in thermal power plants, in line with

Government directives. This includes installation of Flue Gas Desulphurization (FGDs), Selective Catalytic Reduction (SCR) and Electrostatic Precipitators (ESP), which contribute towards curbing harmful emissions and particulate matter. During the financial year, REC has sanctioned projects for installation of FGD, with total loan amount of ₹1,658 crore. REC is also financing Ultra Super Critical Thermal Power Projects with higher thermal efficiency than the conventional thermal power plants and during the financial year 2023-24 REC has sanctioned 5 projects worth ₹22,719 crore.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts:

REC being a NBFC, does not own or execute/implement projects. For renewable energy projects funded by REC, the Company requires its borrowers to get Environmental and Social Impact Assessment (ESIA) as per applicable rules and regulations.

PRINCIPLE 7 Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

ESSENTIAL INDICATORS

1. a. Number of affiliations with trade and industry chambers/ associations: 6

- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

Sl. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1.	Press Club of India	National
2.	Standing Conference of Public Enterprises (SCOPE)	National
3.	Confederation of Indian Industry (CII)	National
4.	Central Board of Irrigation & Power (CBIP)	National
5.	Chartered Institute of Logistics and Transport (CILT)	National
6.	World Energy Council (WEC), India	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities:

Name of authority	Brief of the case	Corrective action taken
No adverse orders were passed from regulatory authorities.		

LEADERSHIP INDICATORS

1. Details of public policy positions advocated by the entity:

Sl. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly / Others – please specify)	Web Link, if available
	REC is a member of World Energy Council (WEC), which functions under the patronage of MoP with the support of energy ministries and leading organizations in the energy sector. It is chaired by Secretary, Power with Secretaries of MoP&NG, Coal, MNRE, MEA and CEA, Department of Atomic Energy acting as Vice Chairman of the body. The Board of Directors and Senior Officials of REC contribute towards the formulation of various policies relating to power sector, as part of various Committees/working groups constituted by Ministry of Power, Government of India. Based on the Government of India Commitment to International community to achieve the target of net zero emissions by 2070, REC has been emphasizing and advocated for clean technology, energy efficiency and renewable energy in its business proposition and at various industry platforms from time to time. With dedicated efforts of many years, REC has contributed towards achieving village and household electrification in the country, especially in the far-flung areas. The Company has been the nodal agency for key power sector schemes such as Deen Dayal Upadhyaya Gram Jyoti Yojana (DDUGJY), Pradhan Mantri Sahaj Bijli Har Ghar Yojana (SAUBHAGYA) and Ujwal DISCOM Assurance Yojana (UDAY). REC is currently playing the role of nodal agency for Revamped Distribution Sector Scheme (RDSS) for 19 states. RDSS is Reforms-based and Results-linked Scheme with an outlay of ₹3,03,758 crore over 5 years financial year 2021-22 to financial year 2025-26 with Gross Budgetary Support (GBS): ₹97,631 crore. Its Objectives is to (i) To improve quality, reliability and affordability of power supply to consumers., (ii) Reduce all India AT&C losses to 12-15% by 2024-25 and (iii) Reduce ACS-ARR gap to zero by 2024-25. Smart prepaid metering is the main features of the RDSS Scheme and REC has played a pivotal role on behalf of MoP for running media campaign and awareness program across the country to spread the benefits of the smart prepaid metering. To support and advise MoP in policy formulation, Regulatory Compliance and Monitoring Division namely Utility Reforms and System Intervention has been established for supporting the distribution utilities for such works and following activities is carried out.				

Sl. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly / Others – please specify)	Web Link, if available
1)	Consumer Service Rating of DISCOMs (CSRD) report is also being published by REC on behalf of MoP. Purpose of CSRD is to encourage DISCOMs to address existing gaps and learn through best practices adhered by other DISCOMs resulting in enhanced consumer satisfaction level Inline with Electricity (Rights of Consumers) Rules, 2020 and develop a sense of competitiveness among DISCOMs. CSRD evaluation is carried out on four parameters namely Operational Reliability, Connections and other Services, Metering and billing & Collection and lastly Fault Rectification and Grievance Redressal. In financial year 2023: 4 DISCOMs come in A+ category, 8 DISCOMs in A category. CSRD reports can be accessed at https://recindia.nic.in/consumer-service-rating-of-discoms.				
2)	Framework to enable Advanced Technologies in power distribution (POWERTHON) : POWERTHON-was launched in Feb' 2022 aiming at leveraging the existing network of Technology Solution Providers (TSPs) to test & scale up use cases of AI/ML in DISCOMs to solve various issues such as AT&C Losses, DT Failure, Load forecasting, etc. Details can be accessed at https://recindia.nic.in				
3)	Report on Key Regulatory Parameters of Power Utilities: REC has been publishing a compilation of "Key Regulatory Parameters of Utilities" and can be accessed at https://recindia.nic.in/RegulatoryParameters				
4)	Other initiatives of MoP like Energy Accounting and Auditing is being carried by REC. REC's wholly owned subsidiary, REC Power Development and Consultancy Limited (RECPDCL) is doing significant work in the fields of smart metering, 11 kV Rural Feeder Monitoring Scheme and other Government Programs like Ladakh Transmission works, Implementation of Prime Minister Development Package (PMDP) works aimed to ensure 24x7 reliable & quality power to the consumers of UT of J&K and UT of Ladakh Flagship National Feeder Monitoring scheme of Ministry of Power under RDSS is being implemented by RECPDCL wherein all outgoing distribution feeders shall be integrated with NFMS through Feeder Monitoring Solutions at utility level with an objective of monitoring the Reliability & Quality of Power to consumers. This financial year, REC has been named National Programme Implementing Agency for another flagship program of Government of India under MNRE namely PM Surya Ghar Muft Bijli Yojana with a total outlay of ₹75,021 crore for installing rooftop solar and providing free electricity up to 300 units every month for One Crore households. The Hon'ble Prime Minister had launched the scheme on February 13, 2024.				

PRINCIPLE 8 Businesses should promote inclusive growth and equitable development.

ESSENTIAL INDICATORS

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
Not applicable					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity:

Sl. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In ₹)
Not applicable						

3. Describe the mechanisms to receive and redress grievances of the community:

The Company has a Public Grievance Redressal system for dealing with the grievances of the public at large. The Company has appointed a senior official in this regard as the Chairman, Public Grievance Committee, to ensure prompt redressal of grievances within the stipulated time frame.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2023-24	FY 2022-23
Directly sourced from MSMEs/ small producers	29.51%^	55.31%^
Directly from within India	100%	100%

^ During financial year 2023-24, REC has done 37% procurement from Micro and Small Enterprises (MSEs) on a standalone basis. When including the procurement activities of our subsidiary, RECPDCL, the consolidated MSE procurement is 29.51%. It's important to note that only RECPDCL's own procurement is included in this calculation, as it primarily handles large-scale, non-MSE purchases for power utilities (facilitates) as part of its business and are excluded.

^^ During financial year 2022-23, REC on standalone had sourced 55% inputs from MSME and on consolidated level the procurement from MSMEs comes to 55.31% which is excluding the procurement done for third parties by RECPDCL

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost:

Location	FY 2023-24	FY 2022-23
Rural	0	0
Semi-urban	0	0
Urban	8.53%	7.88%
Metropolitan	91.47%	92.12%

LEADERSHIP INDICATORS

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
Not applicable	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

Sl. No.	State	Aspirational District	Amount spent in ₹
1.	Andhra Pradesh	Kadapa	12,503,012
2.	Bihar	Muzaffarpur	97,620,154
3.	Himachal Pradesh	Chamba	3,263,645
4.	Madhya Pradesh	Chhatarpur	2,311,990
5.	Madhya Pradesh	Khandwa	-7,76,944
6.	Maharashtra	Gadchiroli	2,560,000
7.	Mizoram	Mamit	15,193,266
8.	Nagaland	Kiphire	21,473,162

An "Aspirational District" is a designation by the Government of India aimed at improving the socio-economic status (health & nutrition, education, agriculture & water resources, financial inclusion & skill development) of districts that are relatively underdeveloped.

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

Yes, REC has a policy to support public procurement from MSMEs. The policy is available at <https://recindia.nic.in/policies>

(b) From which marginalized /vulnerable groups do you procure?

REC has made it mandatory to procure 100% of certain common use goods & services valuing up to ₹10 lakh from MSE vendors and also to allow purchase preference up to 25% of the tendered value to MSEs, out of which 4% is reserved for MSEs owned by SC, ST and 3% is reserve MSEs owned by women entrepreneurs for all cases where L₁ vendor is other than MSE vendors by

allowing MSE vendors for price matching with L₁ if MSE bidders have quoted price within the band of L₁ +15%, wherever splitting is feasible. The Company extends various facilities in its procurement procedures to registered MSEs, such as supply of tender sets free of cost, exemption from payment of earnest money etc.

(c) What percentage of total procurement (by value) does it constitute?

Government mandate is for minimum 25% procurement from micro and small enterprises (MSE) out of which 4% is to be from SC/ST vendors and 3% from Woman vendors. For financial year 2023-24, REC procured 37% from MSE It is noteworthy that the bifurcation of procurements from SC, ST and women entrepreneurs, highly depends on the claims lodged by vendors, on which REC has no control.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

Sl. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
Not applicable.				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved:

Name of authority	Brief of the Case	Corrective action taken
No adverse orders were passed in relation to intellectual property related disputes.		

6. Details of beneficiaries of CSR Projects:

Sl. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Construction of one indoor badminton court in Government Nagarjuna P.G. College of Science, Raipur.	100	100%
2	Providing job-oriented Skill development training to 360 nos. of beneficiaries belonging to SC/ST/OBC/ Women/ EWS etc.	360	100%
3	Construction of "REC Girls Hostel" (G+2) at Kohima Science College, Jotsoma, Nagaland.	NA	NA
4	Providing 1,000 school benches made from recyclable plastic waste in 27 Government schools and conducting awareness programme in 50 schools towards climate change & sustainability for a period of 12 months in Gurugram, Haryana.	1,750	100%
5	Construction of auditorium in Government Higher Secondary School, Kannur.	250	100%
6	Construction of 140 bedded home (Block-B & Part Block-C of Anandam) - A home for the homeless sick, destitute, unknown & elderly people.	140	100%
7	Improving Screening for Cervical Cancer through Empowering Communities in Barabanki	4,000	100%
8	To reduce the prevalence of Gender-Based Violence (GBV) in the urban slums of Mysore (Karnataka) and Bareilly (UP).	200	100%
9	Modernization and Digitization of Psychiatric Rehabilitation Services.	1,000	100%
10	Up-gradation of the District Hospital, Mon by procurement of the medical equipment to strengthen health care services at District Hospital.	2,000	100%
11	Survey and repair of 12,347 toilets constructed during financial year 2014-15 under Swachh Vidyalaya Abhiyan (SVA) by REC in 5 states Uttar Pradesh, Bihar, Rajasthan, Telangana and Madhya Pradesh.	4,00,000	100%
12	Repair/rectification of toilets constructed by REC under SVA in two tranches: Tranche-2 being of 1,681 toilets.	NA	NA
13	Setting up 1,650 nos. of Solar Street Lights in rural and tribal areas.	10,000	100%
14	Construction of hostel building for ST/ vulnerable/ weaker section of the society in Kelwada (Kumbhalgarh) village.	100	100%
15	Providing skill development training and distribution of equipment kit for self-employment to 500 nos. of women belonging to economically weaker section in Aurangabad district, Maharashtra.	500	100%
16	Construction/ extension of staff quarter for medical department and Modular prefabricated housing (quarter) for teachers	10,000	100%
17	Construction of 2 hostel tower (G+8) with furniture, fixtures, landscaping, external lighting & approach road for post graduate students and installation of grid connected 100kWp roof top Solar PV Panel under School of Medical Research and Technology (SMART on IIT, Kanpur).	NA	NA
18	Distribution of aids & assistive devices to approx. 9,000 persons with disabilities by conducting camps in 25 locations in various districts in the country.	5,750	100%
19	Provide 4,300 nos. of aids and appliances to specially abled persons in Assam, Bihar, Chhattisgarh, Jharkhand, Maharashtra, Rajasthan, Uttar Pradesh and Tamil Nadu.	3,911	100%
20	Procurement of 15 nos. of ambulances to be run in tribal areas of various districts in Madhya Pradesh.	5,000	100%
21	Assistance for construction of residential building (G+2) for 150 tribal girls at Sehere district, Madhya Pradesh and providing support for studies, food and other basic necessities to 11 Seva Kutirs comprising approx. 1541 children.	1,541	100%
22	Free distribution of seeds (Rabi season) to farmers residing in draught prone area.	9,225	100%
23	Transformation of health & school education by providing nursing training, infrastructure support in district hospital, strengthen hospital staff to improve maternal & child health care, procurement of generators, infrastructure development in government school building, teacher training etc.	10,000	100%
24	Rural Development Works like construction of community hall, PCC Road, Conduits, Yatri Shed, installation of LED Lights, RO Plants etc.	10,000	100%
25	Construction of Community Hall at Asufi Punanamei Mao, Senapati.	1,000	100%
26	Procurement & installation of Medical Equipment in the District Hospital in Bilaspur.	2,000	100%
27	Procurement, operation and maintenance of 10 nos. of mobile health clinics for primary health care services for a period of three years.	1,23,000	100%
28	Construction of 12 kms. road from Yaingangpokpi to Laikoiching in Ukhrul district.	10,000	100%
29	Learn and Earn- A REC Foundation Initiative to impart bachelor's degrees to 300 youths in garment manufacturing and entrepreneurship, over the period of three years.	300	80%
30	Setting up of 500 of solar street lighting system (12 Watt) with remote monitoring system (RMS) and 5-year comprehensive AMC in 6 village panchayats of Bilaspur.	3,000	100%
31	Contribution of ₹20 crore over the period of 3 years i.e. ₹6.66 crore per year to the corpus of Gujarat Foundation for Entrepreneurial Excellence's (GFEE) incubators.	NA	NA

Sl. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
32	Construction of 100 bedded waiting hall for the attendant of patients, multipurpose hall and incubation centre at Sadar Hospital and procurement & installation of 25 nos. of incubators at district hospital and PHCs.	100	80%
33	Construction of three classrooms, dining hall and a digital classroom in Zila Parishad High School Morzampadu (V), Machavaram Mandal Palnadu.	500	80%
34	Contribution to PM CARES Fund.	NA	NA
35	Farmer-Centric Integrated Watershed Management for Improving Rural Livelihood.	10,000	100%
36	Broad basing of Sports and promotion of excellence in sports in India.	2,500	100%
37	Installation of various Medical equipment's at Kamptee Cantt Board Hospital, Nagpur.	500	100%
38	Providing holistic education & rehabilitation services for children with visual impairment by providing teaching aids, infrastructural development etc.	250	100%
39	Procurement of Blood Bank equipment for separating the blood components in District Hospital, Machilipatnam.	1,000	100%
40	Renovation of Central Sterile Supply Department (CSSD) unit of AIIMS, Delhi and procurement of new medical equipment.	1,00,000	80%
41	Construction of 200 bedded rest room (Vishram Sadan at SKMCH) for patient's attendants in Sri Krishna Medical College & Hospital.	1,000	90%
42	Construction of compound walls and providing gates in 24 nos. of government schools.	1,200	100%
43	Construction of two multipurpose community hall in Pedayerukapadu village and Edurumundi village of Krishna District.	7,425	100%
44	Contribution to Clean Ganga Fund.	NA	NA
45	Operation of innovative mobile school for imparting free education to 462 children of migrant construction labourers in Gurugram, Haryana and Hardoi, Uttar Pradesh.	462	100%
46	Construction of Kitchen, dining hall & storeroom and installation of Reverse Osmosis water treatment plant in 12 nos. of Government high schools in Pulivendula rural, Pulivendula urban, Lingala and Thoundur mandals in Kadapa.	3,081	100%
47	Extension of Department of Emergency Medicine and procurement & installation of medical equipment in SMS Medical College Jaipur.	NA	NA
48	Healing Little Hearts-an REC initiative to provide free of cost medical support to 1000 children with Congenital Heart Disease (CHD).	1,000	100%
49	Strengthening of education infrastructure cum training component for improving the quality of education in aspirational district Chamba.	3,000	100%
50	Contribution towards Armed Forces Flag Day Fund (AFFD Fund) for providing education grant for children of Ex-Servicemen (ESM), Martyrs and their Widows.	12,500	NA
51	Construction of admin offices & hospital below the Saraswathi plaza, infrastructural development in between Saraswathi Edge & temple street and restoration & developmental work of various kund in Kedarnath town and surrounding areas in Kedarnath.	NA	NA
52	Procurement, operation and maintenance of 2 nos. of mobile medical units for primary health care services in Gadchiroli for a period of three years.	2,400	100%
53	Distribution of aids & assistive devices to persons with disabilities (25 camps) in various Districts / States in the country.	1,750	100%
54	Construction of REC waiting lounge "AIIMS - REC Ashraya" at AIIMS, New Delhi.	NA	NA
55	Improvement of health services and renovation & construction in Primary Health Centre, Primary Sub Health Centre, Community Health Centre and District hospital in Mamit.	5,000	80%
56	Assistance for creating "REC Foundation-Rupantar Role Model Schools" to align with the New Education Policy in 100 schools.	7,000	100%
57	Renovation and Enhancement of Auditorium at ABVIMS & Dr. RML Hospital, New Delhi.	NA	NA
58	Contribution to Swachh Bharat Kosh.	NA	NA
59	Procurement for plantation of 54 plants/trees, by REC CO/ROs/SOs at State power utilities/urban parks, nearby areas etc.	NA	NA
60	Providing food to migrant labourers/ family members engaged at construction/ sub stations, poor people, daily wage labourers etc. due to lockdown in view of the outbreak of pandemic corona virus COVID-19.	NA	NA
61	REC-Integrity Club under REC Corporate Social Responsibility.	NA	NA
62	Adopting a slum for ensuring cleanliness of the slum-drinking water, sanitation, toilets, IEC campaigning, etc. under Swachhta Action Plan (SAP).	500	100%
63	Developmental work in the villages of Arrah (and Jagdishpur), Barhara & Koilwar blocks in Bhojpur.	2,000	100%
64	Organising month-long Sports Talent Identification and Training camps in Balasore.	10,000	80%

*NA here means not ascertainable.

PRINCIPLE 9 Businesses should engage with and provide value to their consumers in a responsible manner.

ESSENTIAL INDICATORS

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback:

Being a NBFC, the Company has adopted a Fair Practices Code in line with the statutory requirements prescribed by RBI. The Code covers in detail a grievance redressal mechanism for consumers to submit their complaints, if any. The Board of Directors periodically reviews the status of compliance of the Fair practices code and also the grievances received under the same. For the financial year 2023-24, no complaints were received under the Fair Practices Code. The Fair Practices Code of REC can be accessed at <https://recindia.nic.in/policies>

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	Not applicable
Safe and responsible usage	100%
Recycling and/or safe disposal	Not applicable

3. Number of consumer complaints in respect of the following:

	FY 2023-24			FY 2022-23		
	Received during the year	Pending resolution at end of year	Remarks	Received during the year	Pending resolution at end of year	Remarks
Data privacy	Nil	Nil	NA	Nil	Nil	NA
Advertising	Nil	Nil	NA	Nil	Nil	NA
Cyber-security	Nil	Nil	NA	Nil	Nil	NA
Delivery of essential services	Nil	Nil	NA	Nil	Nil	NA
Restrictive Trade Practices	Nil	Nil	NA	Nil	Nil	NA
Unfair Trade Practices	Nil	Nil	NA	Nil	Nil	NA
Other	1	1	Complaint filed in District Consumer Disputes Redressal Commission, Sirsa. REC's reply has been filed.	1	Nil	The said matter was disposed as the same was withdrawn by consumer.

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	0	NA
Forced recalls	0	NA

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy:

Yes, the policy is available on the website of the Company at <https://recindia.nic.in/>

6. Provide details of any corrective actions taken or underway on issues relating to advertising and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services:

IT Division engaged Cert-In empaneled Security Agency to carry out various Cyber Security Audits of REC's ICT Infrastructure.

7. Provide the following information relating to data breaches:

- Number of instances of data breaches: Nil
- Percentage of data breaches involving personally identifiable information of customers: Nil
- Impact, if any, of the data breaches: Nil

LEADERSHIP INDICATORS

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available):

REC offers a gamut of financial services to the entire power and infrastructure & logistics sector value chain, for setting up power infrastructure in generation, transmission & distribution, bolstering operational efficiency and implementing innovative technology solutions, by financing State power utilities, State Governments and private sector power developers. The product portfolio, interest rates and related information for customers is available on the Company's website at <https://recindia.nic.in>. Details of our business profile can be accessed at <https://recindia.nic.in>.

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services:

REC has a pan-India presence, with regional offices across the country. At each regional office, the Senior Chief Program Manager (Sr. CPM)/Chief Program Manager (CPM) is the single point of contact for all borrowers in the State and for any concern over the products and services offered by the Company. Contact details of regional offices/Sr. CPMs/CPMs are available at <https://recindia.nic.in/contact>.

The Company has also displayed consumer awareness literature on its website at <https://recindia.nic.in>.

REC had developed DISCOM Consumer Service Rating based on four key dimensions (operational reliability; connection and other services; metering, billing, collection linked services; fault rectification and grievance redressal) which are central to enhancing level of consumer services. This will enable the DISCOMs to introspect their performance across various service parameters, undertake a comparative performance assessment with peer DISCOMs and take corrective measures. The Key objectives for the Consumer Service Index are:

- To create a minimum set of parameters related to quality and reliability of electricity supply and consumer service.
- Track performance of DISCOMs across these aspects over a period of time.
- Develop a spirit of healthy competition amongst DISCOMs to enhance consumer experience.
- Nudge the DISCOMs to assess the gap areas, share best practices and promote *inter-se* learning.

Further, REC has an in-house training institute REC Institute of Power Management and Training (RECIPMT), which caters to the training and development needs of engineers and managers of power sector organizations across the

country and beyond. RECIPMT undertakes various training programs including on electrical safety, techno commercial improvement of DISCOMs performance, sustainability of power utilities etc.

In order to promote innovation and technology practices in the distribution sector, REC put in place a framework to enable Artificial Intelligence / Machine Learning Use cases in power distribution. Pilot projects are being supported through IITs and Technology Service Providers.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services:

REC has implemented the Business Continuity and Disaster Recovery Plan for its data center and disaster recovery operations and is also ISO 27001:2013 certified. Further, under the guidance of Ministry of Power, REC's wholly owned subsidiary, viz. REC Power Development and Consultancy Limited ("RECPDCL") has implemented the Urja Mitra App, which provides a Central Outage Management and notification platform for State power distribution utilities, to disseminate power outage information to urban and rural power consumers across India through SMS, email or push notifications.

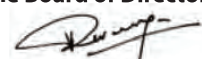
4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable). If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No):

The Company is a NBFC offering financial products, hence it is ensured that adequate disclosures of all its financial products offered are made to its borrowers/customers and to its investors through the corporate website at <https://recindia.nic.in>. Also, during the loan approval process, we undertake declaration regarding knowing of full details of the type of loan applied.

Being a NBFC, the Company also adheres to Fair Practices Code mandated by RBI, which sets out the fair lending practices to be followed with borrowers, in matters relating to application for loans and their processing, loan sanction, disbursement, post-disbursement supervision and grievance redressal mechanism etc. The Fair Practices Code is available at <https://recindia.nic.in/policies>.

The Corporation continuously conducts customer satisfaction surveys to seek feedback from its borrowers at various stages of the loan transaction such as at the time of the loan application, approval, disbursement and closure. This feedback is used to improve systems, processes and enable better focus on training and development of staff.

For and on behalf of the Board of Directors



(Vivek Kumar Dewangan)
Chairman & Managing Director
DIN: 01377212

Place: Gurugram
Date: June 29, 2024